MKTG 201 Final: Flare Case Study
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I. Strategic Recommendation

In order to achieve the targeted $7.5 million in incremental revenue, Flare should prioritize the launch of Savvy as an independent perfume brand while maintaining its existing channel strategy rather than significantly expanding drugstore distribution. This approach offers the greatest potential for growth while preserving the long-term equity and prestige of the Loveliest brand.

Savvy is positioned to target women aged 18–34, a segment that represents Flare's strongest opportunity for incremental growth. Focus group findings indicate that this demographic exhibits lower brand loyalty and a greater willingness to experiment with new scents, frequently rotating among brands based on mood, occasion, or lifestyle. By establishing Savvy as an independent brand alongside Loveliest, Flare creates two distinct purchase options rather than one, increasing the likelihood of capturing trial and repeat purchases from younger consumers who commonly engage with multiple fragrance brands. Savvy's name and concept were perceived as stylish, upbeat, and modern, closely aligning with the preferences of this target audience (Exhibit 5). In contrast, Loveliest's core consumers, women aged 35–64, demonstrate strong brand loyalty and stable purchasing behavior, reflected in the brand's consistent market share over time (Exhibit 1). As a result, future growth is more likely to come from attracting younger consumers early in their fragrance lifecycle rather than relying on deeper penetration of an already loyal segment.

Although the Loveliest umbrella has successfully supported multiple high-volume pillar fragrances, launching Savvy as an independent brand is the stronger strategic choice. Loveliest is a stable $77 million brand and a primary source of Flare's prestige positioning, with its strongest appeal among older consumers. While Natural demonstrated that the Loveliest name can extend to younger demographics, its growth (from $7 million in 2006 to $9.1 million in 2008) was steady rather than transformative and driven by a narrowly defined, environmentally focused segment. This suggests that while Loveliest extensions reduce risk, they also limit upside. Launching Savvy independently allows Flare to create a new brand platform with greater flexibility in messaging, pricing, and long-term evolution without risking dilution of Loveliest's core image.

II. Responding to the Consultant

The case consultant recommends that Flare increase its focus on upscale drugstore channels, noting that these retailers are evolving through enhanced beauty environments and services. However, expanding drugstore distribution alone is unlikely to deliver transformational growth. Flare already derives approximately 74% of its sales from mass channels, indicating that this channel is largely penetrated (Exhibit 1). Moreover, drugstores typically seek only a limited selection of high-turnover products, constraining assortment variety and growth potential. While drugstores are evolving, the case provides no evidence that expansion in this channel alone could generate the required $7.5 million in incremental factory sales in the short term (Exhibits 6–7). The case also notes that fragrance consumers typically first experience new products in department stores, making this channel especially critical for trial and brand discovery. This aligns directly with Savvy's target audience of younger women, who are more likely to be experimenting with new fragrances and forming early brand preferences.

More importantly, both Flare's existing consumer base and Savvy's target demographic place high value on prestige and exclusivity. Focus group findings show that approximately 50% of Savvy's target consumers prefer to shop for fragrances in department stores, while about 40% purchase through mass or specialty retailers such as Target, Walmart, and Sephora; only just over 20% report shopping for fragrances in drugstores (Exhibit 5). Positioning Savvy too prominently in drugstores risks undermining the prestige signals that this younger, brand-aware segment actively seeks. Taken together, while the consultant's recommendation highlights a valid tactical opportunity, the evidence suggests that drugstore expansion alone offers limited upside and greater brand risk than launching a well-positioned new brand like Savvy.

While Aromatique's celebrity-backed launch presents direct competition, it should not discourage Flare from introducing Savvy. The case notes that although celebrity endorsements have historically driven awareness, their effectiveness is declining due to market saturation and diminishing consumer responsiveness. Savvy's lifestyle-driven positioning allows Flare to compete on authenticity and versatility rather than short-term celebrity appeal. As a result, the long-term threat posed by this launch is limited, and Flare should not view it as a barrier to Savvy's success.

III. Branding and Positioning

Savvy should be branded as a standalone, lifestyle-driven fragrance and therefore should not follow the "by Loveliest" naming convention. To clearly differentiate it from the Loveliest brand, Savvy should feature a distinct visual identity and messaging strategy. This includes sleek, modern packaging and a minimalist design aesthetic, while avoiding romantic, classic, or nostalgic elements traditionally associated with Loveliest. Savvy's messaging should be lifestyle- and moment-driven, reflecting the behavior of its target consumers, who often switch fragrances based on occasion, such as day to night or work to social settings. Emphasizing versatility will allow Savvy to appeal to consumers seeking different fragrances for different moments in their lives.

Savvy should be positioned as an affordable prestige fragrance rather than a bargain-priced option. This middle ground is well suited to women aged 18–34, many of whom are newly entering the workforce and may not yet be able to afford luxury fragrances but remain highly brand-aware and image-driven. Savvy should appeal to consumers who are willing to experiment with new scents and view fragrance as a form of self-expression. Overall, the brand should focus on delivering a fresh, modern experience that resonates with younger consumers, avoiding reliance on heritage or nostalgia.

IV. Positioning Statement

"For brand-aware women aged 18–34 who use fragrance as a form of self-expression. Savvy is a modern, lifestyle-driven fragrance that adapts seamlessly to every occasion, delivering affordable prestige. Unlike traditional perfumes, Savvy is backed by Flare's proven fragrance expertise and validated consumer interest, offering credibility without compromising individuality."

V. Tactical Implementation Through the 4 P's

Product: Flare should launch Savvy as an eau de parfum with a single, signature scent to maintain focus and avoid SKU overload at introduction. The fragrance should emphasize versatility to align with how younger consumers rotate scents based on occasion. Packaging should be sleek and minimalist, reinforcing modernity and differentiation from the Loveliest's classic aesthetic.

Price: Savvy should be priced in the **$30–$45 range** for a 1.7 oz bottle, positioning it firmly within the affordable prestige tier. This price point is accessible to younger consumers entering the workforce while still signaling quality and exclusivity. Pricing below luxury fragrances allows Savvy to attract aspirational consumers without competing on discounting, which Flare has historically avoided. Maintaining price discipline also helps preserve brand equity and supports long-term profitability.

Place: Savvy should launch first in department stores and specialty retailers, where consumers most often discover new fragrances and where prestige cues are strongest. While the brand may later expand selectively into upscale drugstore concepts such as CVS Beauty 360, its primary distribution should remain focused on department stores and mass-market retailers to preserve Savvy's desired brand identity and sense of affordable prestige.

Promotion: Promotion should focus on lifestyle-based storytelling and emphasize self-expression and the product's versatility across different occasions. Savvy should use trendy, modern imagery and rely primarily on digital channels to reach younger consumers efficiently. Digital tools such as social media and an interactive website can strengthen Savvy's brand while remaining consistent with Flare's existing promotional capabilities. In-store promotions, including testers, gift-with-purchase offers, and limited-time launch bundles, should be used to drive trial without resorting to price discounting. The case also notes that a significant share of fragrance profits is generated during key seasonal periods, particularly the winter holidays and Mother's Day, making it critical to align promotional efforts around these occasions. During these peak seasons, Savvy's messaging should also be oriented toward men shopping for women, emphasizing gifting. Additionally, Savvy should steer clear of celebrity endorsements, as their effectiveness is declining and they tend to generate short-term awareness rather than lasting brand credibility among younger consumers.

VI. Addressing Additional Consultant Recommendation

Line extending Savvy into personal care segments should be delayed rather than implemented immediately. While a broader range of products may appeal to more consumers, introducing Savvy into personal care too early would distract from establishing the core fragrance and strain financial resources. The case indicates that Flare's strongest expertise and margins lie in fragrance, and far less of their profits come from their lower-priced scented products (Exhibit 1). Once Savvy has gained sufficient awareness and traction as a fragrance, personal care extensions can be considered as a secondary growth opportunity.

Additionally, a price increase across all Flare's products is also not recommended at this time. Given the economic uncertainty and evidence of consumers trading down, raising prices could risk losing Loveliest consumers and price-sensitive younger buyers (Table A.) Flare's competitive advantage lies in offering prestige at accessible price points, and maintaining current pricing helps preserve volume while Savvy is being introduced.

VII. Additional Suggestions

From a promotional standpoint, Savvy should establish a strong social media presence on platforms such as Instagram and TikTok, where its target audience is most active. These channels are especially effective for reaching younger consumers through visually driven, short-form content. Influencer marketing should play a key role in this strategy, with a focus on young professionals and beauty influencers who authentically reflect Savvy's target lifestyle and values. Additionally, content that depicts the fragrance transitioning from office settings to nightlife or social occasions would reinforce Savvy's positioning as a versatile, lifestyle-driven scent.

In addition to social media, Savvy should leverage email marketing and a loyalty program to encourage repeat purchasing and long-term brand attachment. While younger consumers are more experimental in their fragrance choices, the case suggests that brand loyalty often increases with age. For this reason, the loyalty program should be designed at the Flare brand level rather than being limited to Savvy alone, allowing consumers to be gradually introduced to other Flare fragrances as their preferences evolve. This approach would enable Flare to retain customers within its broader portfolio, whether through future Savvy line extensions or more mature offerings such as those under the Loveliest umbrella. Therefore, increasing lifetime customer value and strengthening long-term brand relationships.

Finally, there is also a potential long-term growth opportunity in expanding into men's fragrances. Given that women's fragrances account for \$3.8 billion, or 66.6% of the \$5.7 billion fragrance market, men's fragrances represent the remaining \$1.9 billion, or approximately 33.4% of total retail sales. By not offering a men's fragrance line, Flare is currently foregoing participation in a substantial portion of the overall market. Although the case does not provide sufficient data to support launching a men's line in the short term, it is notable that Flare currently lacks a presence in this segment. Many fragrance companies that initially focused on women have successfully expanded into men's products over time, suggesting that this could represent a future growth avenue.